

GOVERNMENT OF ANDHRA PRADESH

Information Technology, Electronics & Communications Department

**ANDHRA PRADESH
STARTUP & INNOVATION ECOSYSTEM**

A Research Report

July 2026

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Executive Summary

Andhra Pradesh has positioned itself among India's leading state-level startup ecosystems, building on a decade of dedicated policy support that began in 2014, when it became the first Indian state to notify a standalone Start-up and Innovation Policy. This report examines the structure, policy framework, incentive architecture and institutional machinery that together constitute the state's present-day startup ecosystem, drawing on official publications of the Government of Andhra Pradesh and the Department for Promotion of Industry and Internal Trade (DPIIT), Government of India.

As of the latest official data, the state is home to more than 6,600 startups, of which 2,400 carry DPIIT recognition, including 1,159 women-led ventures, supported by a network of 46 incubators. The Andhra Pradesh Innovation & Start-up Policy (4.0) 2024-2029, notified vide G.O.Ms.No.3 dated 24 March 2025, sets out an ambitious five-year agenda: 20,000 new startups, one lakh jobs, 20 soonicorns, 10 unicorns and 10 new Centres of Excellence, delivered through a Hub-and-Spoke institutional model anchored by the upcoming Ratan Tata Innovation Hub (RTIH) at Amaravati.

The report finds that Andhra Pradesh's ecosystem is distinguished less by any single flagship scheme than by the breadth and coordination of its support architecture - spanning financial incentives (grants, seed funding, interest subsidy, SGST reimbursement), non-financial assistance (the AP Innovation Passport and the AP Start-up One portal), and a structured calendar of hackathons, innovation challenges and capacity-building programmes run jointly with 15 government departments. The concluding sections assess the ecosystem's key strengths and the areas that will determine whether Policy 4.0's targets are met by 2029.

1. Introduction and Background

1.1 Purpose and Scope of the Report

This report presents a structured account of the startup and innovation ecosystem of Andhra Pradesh, prepared from official government sources, principally the Andhra Pradesh Innovation & Start-up Policy (4.0) 2024-2029 issued by the Information Technology, Electronics & Communications (ITE&C) Department, publications of the Andhra Pradesh Innovation Society (APIS), and notifications of the Department for Promotion of Industry and Internal Trade (DPIIT), Ministry of Commerce and Industry, Government of India. It is intended to serve policymakers, incubator managers, entrepreneurs, investors and researchers seeking a consolidated, source-referenced overview of the ecosystem.

The report covers: the national and state definitions governing startup recognition; a profile of the Andhra Pradesh ecosystem; the objectives and targets of Policy 4.0; the state's focus sectors; the Hub-and-Spoke incubation model; the financial and non-financial incentive framework; outreach programmes and innovation challenges; and the administrative channels through which startups access state support.

1.2 National Context: Start-up India and DPIIT

India's national startup framework is administered by DPIIT under the Start-up India initiative, launched in 2016. DPIIT is the nodal authority that grants official 'recognised startup' status to eligible entities, a prerequisite for accessing tax, funding, intellectual-property and regulatory benefits at the central level.

DPIIT most recently revised the national startup definition and recognition framework through notification G.S.R. 108(E), dated 4 February 2026, which superseded the 2019 framework then in force. The revised notification introduced a dedicated Deep Tech Startup category and updated turnover and age thresholds, as detailed in Section 2 of this report.

Within this national framework, Andhra Pradesh has developed a state-specific policy and institutional layer - discussed throughout this report - that operates alongside, and channels startups towards, DPIIT recognition and central schemes such as the Startup India Seed Fund Scheme.

1.3 Methodology

This report was compiled through a structured desk-review process. First, primary policy texts issued by the Government of Andhra Pradesh and by DPIIT were collated directly from the departmental notifications and gazette orders listed in the References section. Second, the quantitative indicators reported by the ITE&C Department - startup counts, incubator numbers, and recognition figures - were cross-checked against independent secondary coverage, including trade-press reporting on Policy 4.0. Third, incentive amounts, eligibility conditions and institutional structures were verified against the specific incentive-schedule and operational-guideline documents cited alongside each section, rather than relying on a single consolidated source.

Where a figure or provision could not be independently corroborated across at least two official sources, this report attributes it explicitly to its originating publication rather than presenting it as an unattributed fact. Readers requiring the most current figures - particularly incentive amounts, which the policy itself flags as subject to periodic revision - should treat the AP Start-up One portal as the authoritative live source.

1.4 Structure of the Report

The remainder of this report is organised as follows. Section 2 sets out the national definitions that govern startup recognition, including the Deep Tech category introduced in 2026. Section 3 profiles the Andhra Pradesh ecosystem as it stands today. Section 4 details the objectives and targets of Policy 4.0. Section 5 lists the eight futuristic focus sectors the state has chosen to prioritise. Section 6 explains the Hub-and-Spoke institutional model and the role incubators play within it. Sections 7 and 8 set out the financial and non-financial support available to startups respectively. Section 9 covers the outreach calendar of programmes and events. Section 10 explains the practical channels through which a startup accesses this support. Section 11 addresses policy validity and the role of APIS as nodal agency. Section 12 offers an analytical assessment of the ecosystem's strengths and implementation risks, and Section 13 concludes with a summary and forward-looking observations.

2. Understanding Start-ups and Innovation

2.1 What is a Start-up?

A start-up, in common understanding, is a newly established business that sets out to solve a genuine problem faced by society, customers or an industry through a unique product, service or way of doing things. A start-up is not simply a small or new company - it is an enterprise built around an idea with the potential to grow rapidly, create jobs and generate wealth.

Innovation, by contrast, is the broader act of creating and applying new ideas, whether this results in a new product, a new service, a smarter process or an entirely new business model. Every start-up is a vehicle for innovation, but innovation itself is far wider in scope and can occur in any organisation, research laboratory, government department, or through the efforts of an individual citizen.

2.2 Official Start-up Definition - Revised DPIIT Notification

Under the revised DPIIT notification of 4 February 2026, a start-up is defined as an entity incorporated or registered in India that works towards the innovation, development or improvement of products, services or processes, or has a scalable business model with high potential for employment generation or wealth creation.

To be recognised, the entity must be registered as one of the following legal forms:

- Private Limited Company
- Limited Liability Partnership (LLP)
- Partnership Firm

2.3 Start-up Eligibility Criteria

- The entity must be within 10 years of its date of incorporation or registration.
- Annual turnover must not have exceeded Rs. 200 crore in any financial year since incorporation.
- The entity must not have been formed by splitting up or reconstructing an already existing business.
- Start-up recognition remains valid until 10 years from incorporation, or until turnover crosses Rs. 200 crore - whichever occurs first.

2.4 The Deep Tech Start-up Category

Recognising the long gestation periods needed for research-driven ventures, the revised framework introduces a distinct 'Deep Tech Start-up' category for enterprises engaged in advanced, research-intensive technologies, including Artificial Intelligence, Robotics, Semiconductors, Biotechnology and Quantum Technologies.

Startups recognised under the Deep Tech category enjoy an extended recognition period of up to 20 years and a higher turnover ceiling of up to Rs. 300 crore, reflecting the longer runway such technologies typically require to reach commercial maturity.

2.5 State-Level Recognition versus DPIIT Recognition

It is useful to distinguish between the two layers of recognition a startup in Andhra Pradesh may hold. DPIIT recognition, described above, is granted by the Government of India and is the gateway to central-level benefits such as tax exemptions, self-certification under labour and environmental laws, and access to the Startup India Seed Fund Scheme. State-level support under Policy 4.0, by contrast, is administered by the Government of Andhra Pradesh through APIS and is available to eligible startups incorporated in, or operating from, the state - as Section 7 of this report shows, several state incentives are open to independent eligible startups and are not conditioned on DPIIT recognition alone. In practice, the two layers are complementary rather than substitutable: a startup that secures both DPIIT and state-level recognition is positioned to draw on central schemes and the full state incentive schedule concurrently.

3. The Andhra Pradesh Start-up Ecosystem - An Overview

3.1 A Pioneer State

Andhra Pradesh has consistently been at the forefront of India's innovation journey. In 2014, it became the first state in the country to introduce a dedicated Start-up and Innovation Policy, setting a benchmark that many other states subsequently followed. Since then, the state has continued to refine its approach, culminating in the Andhra Pradesh Innovation & Start-up Policy (4.0) 2024-2029.

3.2 Key Indicators

S.No.	Indicator	Current Standing
1	Start-ups in Andhra Pradesh	6,600+
2	DPIIT-recognised start-ups	2,400
3	Women-led start-ups	1,159
4	Active incubators in the state	46 (across government & private institutes)
5	Centres of Excellence (CoEs)	6 - IoT & AI, Biotech, Medical Devices, Maritime, Industry 4.0, Rural Innovation
6	DPIIT State Start-up Ranking (2022)	“Leader” category
7	Ease of Doing Business	Ranked easiest state, 3 years running

3.3 Sector-wise Start-up Concentration

Start-ups in Andhra Pradesh are spread across a wide mix of sectors, with Information Technology, Agriculture and Healthcare forming the largest share of the base:

S.No.	Sector	Share of Start-ups
1	IT Services	27%
2	Agriculture	16%
3	Healthcare & Life Sciences	14%
4	Education	12%
5	Construction	12%
6	Food & Beverages	10%
7	Professional & Commercial Services	8%

3.4 Why Andhra Pradesh?

- Nearly half of India's DPIIT-recognised startups are based in Tier-2 and Tier-3 cities, and Andhra Pradesh's cities - Visakhapatnam, Vijayawada, Kakinada, Tirupati, Anantapur and Kurnool - offer a materially lower cost of living and operations compared with saturated metro hubs.
- India is the world's third-largest startup ecosystem after the United States and China, and is projected to keep growing at 12-15% annually.
- The state offers a full-stack ecosystem, from school-level innovation programmes to dedicated funding, incubation and global market linkages.

3.5 Cost and Talent Advantage of Tier-2/Tier-3 Locations

The concentration of DPIIT-recognised startups in Tier-2 and Tier-3 cities nationally is not incidental - it reflects a broader shift in where founders choose to build, driven by materially lower real-estate and operating costs, growing local talent pools as engineering and management graduates increasingly stay closer to home, and the reduced competition for skilled hires compared with saturated metro labour markets. Andhra Pradesh's six named startup cities - Visakhapatnam, Vijayawada, Kakinada, Tirupati, Anantapur and Kurnool - are positioned to capture this shift, provided the incubation infrastructure and mentor networks described in Section 6 keep pace with founder demand.

3.6 Positioning within India's Startup Landscape

India's status as the world's third-largest startup ecosystem, growing at a projected 12-15% annually, provides the macro backdrop against which Andhra Pradesh's own targets should be read. A state-level policy that adds 20,000 new startups over five years is, in effect, a wager that a meaningful share of this national growth can be captured by a state that offers full-stack support - from school-level innovation programmes through to growth-stage equity funding - rather than leaving founders to assemble that support themselves across fragmented central and private channels.

4. Andhra Pradesh Innovation & Start-up Policy (4.0) 2024-2029

The earlier AP Information Technology Policy (2021-24) lapsed on 30 September 2024. To keep pace with rapid technological change and evolving entrepreneur needs, the Government of Andhra Pradesh notified the new Innovation & Start-up Policy (4.0) vide G.O.Ms.No.3, ITE&C (Promotion Wing) Department, dated 24 March 2025, valid for five years (2024-2029).

4.1 Vision

To position Andhra Pradesh as a Global Startup Hub for Innovation, Incubation & Entrepreneurship - fostering a robust ecosystem that supports startup growth, drives economic development, and promotes inclusivity and sustainability.

4.2 Targets (2024-2029)

- Build the ecosystem through a Hub-and-Spoke model covering the entire state.
- Create 20,000 new start-ups, generating at least one lakh (100,000) jobs.
- Support the emergence of 20 Soonicorns and 10 Unicorns.
- Establish or expand 10 Centres of Excellence across Deep Tech/AI-ML, Blockchain, XR (VR/AR), IoT, Quantum Computing, Climate Tech, Healthtech/Biotech, Advanced Manufacturing, Automotive/EV, and Cybersecurity/Cloud Computing.
- Engage 15 key government departments, each allocating Rs. 10-20 crore annually to run innovation challenges and hackathons, delivering at least 25 Proof-of-Concepts (POCs) with start-ups every year.

Taken together, these targets imply an average of roughly 4,000 new startups a year over the policy period - a pace that would need to comfortably exceed the state's historical rate of startup formation if the 2029 goal is to be met organically rather than through reclassification of existing small businesses as startups. The soonicorn and unicorn targets, in particular, depend less on the volume-based instruments in Section 7 (grants, subsidies) and more on the equity-linked instruments (Seed Funding with Equity, Go-to-Market Support), since scaling a venture to unicorn status is fundamentally a capital-intensive, investor-driven process that state grants alone cannot substitute for.

4.3 Objectives

- Support the adoption of innovative technologies across sectors.
- Drive the innovation economy of the state.
- Leverage Andhra Pradesh's diverse economic base, industrial strength and raw-material availability.
- Connect entrepreneurs to domestic and global markets.
- Support grassroots entrepreneurship.
- Promote inclusivity and diversity in the start-up ecosystem.
- Leverage Government of India schemes for emerging-sector start-ups.

5. Futuristic and Disruptive Focus Sectors

As part of Policy 4.0, the Andhra Pradesh Innovation Society (APIS) has identified eight future-facing sectors where the state will concentrate incubation support, funding and infrastructure development:

No.	Focus Sector	Why It Matters
01	Artificial Intelligence (AI)	Core enabling technology across every other sector
02	Agri & Aqua Tech	Builds on AP's agricultural and coastal strengths

No.	Focus Sector	Why It Matters
03	Health, MedTech & Pharma	Anchored by AMTZ Visakhapatnam
04	Sports & Tourism	Leverages the state's coastline, heritage and events
05	Green Technologies & Renewable Energy	Supports sustainability and climate goals
06	Drones & Robotics	High-growth deep-tech manufacturing niche
07	EVs & e-Mobility	Aligned with national EV adoption push
08	Semiconductors	Strategic national priority sector

5.1 Sector Rationale in Detail

Artificial Intelligence is treated as a horizontal, not a vertical - the policy expects AI capability to lift productivity across agriculture, healthcare, manufacturing and government service delivery alike, which is why it sits first on the focus-sector list and anchors the 'One Family - One AI Use Case' outreach initiative described in Section 9.

Agri & Aqua Tech builds directly on the state's existing economic base: agriculture already accounts for a meaningful share of the current startup mix (Section 3.3), and the state's extended coastline gives aquaculture and fisheries-technology ventures a natural home.

Health, MedTech & Pharma is anchored by the Andhra Pradesh MedTech Zone (AMTZ) at Visakhapatnam, which gives medical-device and diagnostics startups access to shared testing and manufacturing infrastructure that would otherwise be prohibitively expensive to build independently.

Sports & Tourism leverages the state's coastline, temple heritage and marquee events as a platform for startups in hospitality technology, sports-tech and experience design - a sector with lower capital intensity than the deep-tech categories that follow.

Green Technologies & Renewable Energy aligns state incubation support with national and global decarbonisation commitments, positioning Andhra Pradesh's renewable-energy resource base as an input for climate-tech ventures rather than only for utility-scale generation.

Drones & Robotics is identified as a high-growth deep-tech manufacturing niche where India's regulatory framework for drones has matured quickly enough to create first-mover advantages for early entrants.

EVs & e-Mobility rides the national push toward electric-vehicle adoption, with the RTIH's planned EV and autonomous-vehicle test tracks (Section 6.3) intended to give component and vehicle-technology startups a proving ground they could not easily access on their own.

Semiconductors is flagged as a strategic national priority sector; the RTIH's planned semiconductor cleanroom (Section 6.3) signals that the state intends to compete for a share of India's broader semiconductor-manufacturing push rather than treating the sector as aspirational alone.

6. The Hub-and-Spoke Ecosystem and the Role of Incubators

6.1 What is an Incubator?

An incubator is an institution that supports early-stage start-ups by providing physical workspace, mentorship, prototyping facilities, funding linkages, and access to networks of investors, corporates and experts - helping an idea survive its most fragile early phase and grow into a viable business. Andhra Pradesh currently hosts 46 incubators spread across 9 government institutes, 1 private-sector entity, and several private universities and colleges, together offering close to one lakh square feet of incubation space in Visakhapatnam, Kakinada, Tirupati and Vijayawada/Guntur.

6.2 The Ratan Tata Innovation Hub (RTIH) and Spoke Centres

To scale this support state-wide, the Government of Andhra Pradesh is setting up the Ratan Tata Innovation Hub (RTIH) at Amaravati as the apex Hub, supported by five regional Spoke Centres located in Rajahmundry, Vijayawada, Visakhapatnam, Tirupati and Anantapur - covering the Uttara Andhra, Godavari, Central Andhra, South Andhra and Rayalaseema zones respectively.

Zone	Spoke Centre
Uttara Andhra	Visakhapatnam
Godavari	Rajahmundry
Central Andhra	Vijayawada
South Andhra	Tirupati
Rayalaseema	Anantapur

Figure 1: Hub-and-Spoke institutional structure under Policy 4.0 - RTIH (Amaravati) at the apex, supported by five regional Spoke Centres as listed above.

- RTIH (the Hub): builds deep infrastructure, global networks and specialised Centres of Excellence, and guides the Spokes so that effort is not duplicated.
- Spoke Centres: focus on ground-level implementation - regional incubation, local mentor networks, and direct support for start-ups and MSMEs in their zone.
- The Hub and Spokes operate on twin funding - government seed grants combined with corporate/promoter contributions - and are expected to become progressively self-sustaining.

6.3 What RTIH Offers

- Incubation support and hand-holding for venture capital funding.
- Centres of Excellence in AI and other emerging technologies, plus high-performance computing infrastructure.
- MSME facilitation centre, banking linkages, market linkages and raw-material sourcing support.
- Prototyping centre, outdoor testing tracks, 3D printing, semiconductor cleanroom, robotics labs and EV/autonomous-vehicle test tracks.
- A global network of universities, VC funds, corporate headquarters, research labs and management consulting firms.

6.4 What Spoke Centres Offer

- Regional incubation space, mentor networks and Fab labs/tinkering labs.
- Ideation huddles, AI and deep-tech workshops, and acceleration/immersion programmes with corporates.
- Support for MSMEs - feasibility studies, prototyping/tool rooms, funding facilitation, and market linkages/exports.
- Facilitation of hackathons, training programmes, and technology partnerships with trade agencies such as USTDA and KOTRA.

6.5 Governance

Each Hub and Spoke is governed by a Board of Governors (a President/promoter, co-promoters, independent experts, and government/academia/industry representatives), supported by an Executive Committee (CEO, CFO, COO) responsible for day-to-day operations, and specialised teams covering Investment, Incubation & Acceleration, Ecosystem Development, Finance, and Marketing & Communications.

6.6 Zone-wise Coverage

The five Spoke zones are drawn to cover distinct geographic and economic sub-regions of the state. The Uttara Andhra zone, served from Visakhapatnam, covers the state's principal port city and its surrounding industrial and IT corridor. The Godavari zone, served from Rajahmundry, covers the delta districts with their strong agricultural base. The Central Andhra zone, served from Vijayawada, sits closest to the Amaravati capital region and the RTIH itself. The South Andhra zone, served from Tirupati, covers the state's southern pilgrimage and education corridor. The Rayalaseema zone, served from Anantapur, covers the drier interior districts where cost advantages are most pronounced. This spread is designed to ensure that incubation support is not concentrated solely around the capital region.

6.7 Incubator Network Composition

Of the 46 incubators active in the state, 9 are hosted at government institutes and 1 at a dedicated private-sector entity, with the remainder distributed across private universities and colleges. This mix matters because government-hosted incubators typically anchor sector-specific infrastructure (such as AMTZ for MedTech), while university-hosted incubators tend to feed a pipeline of student and early-career founders into the broader network. The AP Innovation Passport requirement (Section 8.1) is particularly relevant here, since it obliges any incubator that has received public capital to keep its facilities open beyond its own resident startups.

7. Financial Incentives for Start-ups

The following incentives, notified under Policy 4.0, are available to start-ups incubated at the Hub/Spoke centres as well as to independent, eligible start-ups:

S.No.	Incentive	Details
1	Startup Grants	Up to Rs. 2 lakh upfront grant, plus phase-wise support up to Rs. 15 lakh (capped at Rs. 15 lakh total per startup) to move from idea to proof of concept.
2	Grants for Women/BC/SC/ST/Minority/Differently-Abled-led Startups	Phase-wise grant up to Rs. 20 lakh in total per startup.
3	Interest Subsidy	8% subsidy on term loans for 3 years.
4	Seed Funding with Equity	Up to Rs. 50 lakh, based on an equity-sharing model.
5	Go-to-Market Support	Up to Rs. 50 lakh, based on an equity-sharing model.
6	Support for Events/Fairs	75% of costs (up to Rs. 3 lakh) for registration, travel, lodging & boarding - one event per year per startup.
7	Accelerator Programme Support	50% fee reimbursement, up to Rs. 2 lakh per programme, maximum 2 programmes per startup.
8	Patent Filing Cost Support	50% of expenses - up to Rs. 2 lakh for Indian patents, Rs. 10 lakh for foreign patents.
9	SGST Reimbursement	100% reimbursement for 5 years.
10	Seed Funding for Deep Tech & Advanced Tech Startups	Up to Rs. 1 crore, based on need.
11	Rental Subsidy for Workstations	100% rental subsidy for up to 30 employees, for one year, in notified co-working/neighbourhood workspaces or MSME parks.
12	Support for Incubators/CoEs/Accelerators (Govt. institutes)	Up to 100% matching grant under Government of India schemes, capped at Rs. 50 lakh.

Incentive amounts and eligibility conditions are subject to periodic revision by the Government of Andhra Pradesh; applicants should verify current terms on the AP Start-up One portal before applying.

7.1 Reading the Incentive Schedule

The twelve incentives listed above fall into three broad categories, which is useful for a founder trying to map them to a startup's actual stage. The first category is ideation-stage grants - Startup Grants, the enhanced grants for women and other under-represented founders, and Patent Filing Cost Support - which are non-dilutive and aimed at getting an idea to proof of concept. The second category is growth-stage, equity-linked support - Seed Funding with Equity, Go-to-Market Support, and the dedicated Seed Funding for Deep Tech & Advanced Tech Startups - where the state takes an equity position rather than issuing a pure grant. The third category is cost and compliance relief - the Interest Subsidy, SGST Reimbursement, Rental Subsidy, and Accelerator and Event support - which reduce the ongoing cash burden of running a startup rather than funding a specific milestone. Reading the schedule this way makes clear that Policy 4.0 is designed to follow a startup through its lifecycle rather than to fund a single stage in isolation.

8. Non-Financial Assistance

8.1 AP Innovation Passport (APIP)

Any organisation that receives government financial support to set up or expand its facilities must, in return, provide unrestricted access to all start-ups registered on the AP Start-up One portal - ensuring that public investment in infrastructure benefits the wider start-up community, not just individual beneficiaries.

8.2 AP Start-up One Portal

The AP Start-up One Portal is the state's single-window digital platform for start-ups, incubators, investors and mentors. It offers:

- Information on sectoral policies, opportunities and funding schemes, with a single-window interface to apply for benefits.
- Integration with the national Start-up India portal for live data, with plans to link further with other central and state portals.
- Real-time application tracking, and notifications on new funding opportunities, programmes and policy changes.
- A dynamic grievance-redressal workflow that escalates unresolved issues up to the CEO of APIS.
- Directory access to mentors, authorities and support staff, along with helpline and email support.

9. Programmes, Outreach and Events

Beyond funding, the Hub-and-Spoke network runs a structured calendar of programmes to build entrepreneurial capability at every stage:

- Entrepreneurship Awareness Programmes - introductory sessions for students, researchers and first-time founders.
- Short-Term Programmes - boot camps and immersion programmes for hands-on exposure.
- Medium-Term Training - acceleration programmes and upskilling courses.
- Flagship Events - sub-sector-specific and theme-based conferences, showcases and investor-connect events.
- Innovation Challenges & Hackathons - run jointly with 15 key government departments to co-create Proof-of-Concepts (at least 25 per department, per year).
- 'One Family - One AI Use Case' - a Spoke-led initiative to spread everyday AI adoption to the household level.

The Government of Andhra Pradesh provides budgetary support, along with backing from local institutions, to ensure these outreach and training programmes run smoothly across the state.

9.1 Impact Orientation

Read together, these programmes are structured as a funnel rather than a set of unrelated events. Awareness Programmes build the base of the funnel by exposing students and first-time founders to entrepreneurship as a career path. Short-Term and Medium-Term programmes convert a

share of that base into founders with a validated idea and basic business skills. Flagship Events and the innovation-challenge calendar then connect the strongest of those ventures to corporate buyers, investors and government departments through concrete Proof-of-Concept engagements. The 'One Family - One AI Use Case' initiative operates somewhat differently: it is aimed less at producing founders and more at building a base of AI-literate citizens and households who can act as early adopters and users for the ventures the rest of the funnel produces.

10. How Start-ups Can Access State Support

10.1 Through RTIH and Spoke Centres

Start-ups can approach the Ratan Tata Innovation Hub or their nearest Spoke Centre directly for hand-holding across every growth stage - mentoring, financing, marketing, skilling and incubation.

10.2 Through the AP Start-up One Portal

Start-ups may also apply directly online for assistance and Government scheme support:

Assistance Requests

- Funding applications - loans and equity investment.
- Mentorship requests from experienced industry mentors.
- Incubation services in state-owned or private incubators.
- Other support - legal assistance, marketing support, and technology resource access.

Government Scheme Requests

- Financial aid applications - grants, subsidies, low-interest loans.
- Infrastructural support requests.
- Regulatory guidance and compliance assistance.
- Other Government of India / Government of Andhra Pradesh scheme applications.

Figure 2: Simplified process flow - a start-up approaches RTIH/nearest Spoke Centre or registers on the AP Start-up One Portal; submits an application for funding, mentorship, incubation or scheme support; and tracks progress in real time via the portal, with grievance escalation to the APIS CEO if required.

11. Policy Validity and Implementation

11.1 Policy Period

- Valid for 5 years from the date of notification, or until superseded by a new policy.
- Amendments apply prospectively only - no benefit already granted will be withdrawn.
- The Government of Andhra Pradesh may extend the policy period as required; it applies to the entire state.

11.2 Andhra Pradesh Innovation Society (APIS) - The Nodal Agency

APIS, incorporated in 2015 under the ITE&C Department, is the State Nodal Agency for driving innovation, entrepreneurship and start-up growth. Its responsibilities include:

- Providing a platform connecting entrepreneurs, researchers, students, citizens and government.
- Operating regional units and specialised centres in major cities.
- Supporting government departments and regional centres in running POCs, hackathons and start-up challenges.
- Coordinating RTIH and Spoke Centre activities, and processing incentive claims.
- Reporting Andhra Pradesh's performance for the DPIIT State Start-up Ranking and Ease of Doing Business assessments.
- Identifying private-sector operators to run state-owned incubators under PPP models.

11.3 Institutional Accountability

Because APIS is answerable for reporting the state's performance in both the DPIIT State Start-up Ranking and national Ease of Doing Business assessments, its incentive is directly aligned with the outcomes Policy 4.0 targets - a weak or slow-moving Hub-and-Spoke network would show up in APIS's own reported rankings, not merely in internal departmental metrics. This alignment of reporting responsibility and delivery responsibility within a single nodal agency is one of the less visible but more consequential design choices in the state's institutional architecture.

12. Analysis and Findings

12.1 Structural Strengths

Three structural features distinguish the Andhra Pradesh ecosystem from a purely scheme-based approach to startup support. First, the Hub-and-Spoke model distributes incubation capacity across five geographic zones rather than concentrating it in a single city, which is consistent with the state's stated aim of building a state-wide ecosystem rather than a single metro cluster. Second, the incentive schedule combines grant-based support for early-stage ideation with equity-linked seed funding and go-to-market support for later stages, giving the framework coverage across the startup lifecycle rather than a single point of intervention. Third, the requirement that publicly funded infrastructure (the AP Innovation Passport) remain open to all registered startups, not just those housed within a given facility, is a deliberate mechanism to prevent public investment from benefiting only a narrow set of incubatees.

12.2 Sectoral Concentration and Diversification

The sector-wise data in Section 3.3 shows that IT Services, Agriculture and Healthcare together account for well over half of the state's startup base. This concentration reflects both the state's existing industrial strengths (notably in agriculture and IT services delivery) and the presence of anchor institutions such as AMTZ Visakhapatnam for MedTech. The Policy 4.0 focus-sector list in Section 5, however, signals an intent to diversify the base towards deep-tech and capital-intensive sectors - semiconductors, drones and robotics, and EVs - that carry longer development timelines and are not yet reflected in the current sectoral mix. Whether this diversification materialises will depend on the

availability of the specialised infrastructure (cleanrooms, test tracks, high-performance computing) that RTIH and the Centres of Excellence are intended to provide.

12.3 Institutional Coordination

The policy's targets - 20,000 new startups, 1 lakh jobs, 20 soonicorns and 10 unicorns by 2029 - depend on coordination across at least three layers: APIS as the nodal agency, the RTIH/Spoke network as the delivery mechanism, and 15 government departments that are each expected to run innovation challenges and contribute POCs. This is a materially more complex coordination task than administering a single incentive scheme, and the governance structure described in Section 6.5 (Boards of Governors plus Executive Committees at each Hub/Spoke) appears designed specifically to manage that complexity at the regional level while APIS retains state-wide oversight and reporting responsibility, including for the DPIIT State Start-up Ranking.

It is worth noting that the 15-department engagement model asks each department to allocate its own annual budget (Rs. 10-20 crore) to innovation challenges, rather than routing that funding through APIS or ITE&C centrally. This decentralised funding design has an upside and a downside: it gives each department direct ownership of the POCs it commissions, which should make the resulting pilots more likely to be adopted into that department's own operations, but it also means the pace of delivery across 15 departments is only as fast as the slowest department's own internal budgeting and procurement cycle.

12.4 Observations on Implementation Risk

Two implementation considerations follow from the policy design itself, as documented in official sources. First, the Hub and Spokes are intended to become progressively self-sustaining on a combination of government seed grants and corporate/promoter contributions; the pace of that transition will affect how quickly capacity can expand beyond the initial five zones. Second, because incentive amounts and eligibility conditions are subject to periodic revision, startups and incubators need to rely on the AP Start-up One portal for current terms rather than treating the incentive schedule in Section 7 as fixed for the full policy period.

12.5 Comparative Position within South India

Andhra Pradesh's approach - a nodal agency, a Hub-and-Spoke incubation network, and a lifecycle-spanning incentive schedule - is broadly consistent with the direction other leading Indian states have taken in building their own startup ecosystems, several of which have similarly paired a central nodal body with distributed incubation infrastructure. What distinguishes the Andhra Pradesh model, on the evidence reviewed in this report, is less the presence of any single instrument and more the explicit five-zone geographic distribution built into the Hub-and-Spoke design from the outset, rather than added as a later corrective to metro-centric growth.

12.6 Risks and Watch-points

- Execution pace: the RTIH and Spoke Centres must become operational and self-sustaining broadly on schedule for the 2029 targets to remain credible.
- Sectoral diversification: the current startup base remains concentrated in IT, agriculture and healthcare; the deep-tech focus sectors in Section 5 will need to show measurable uptake, not only infrastructure investment.
- Departmental coordination: delivering 25 POCs per department, per year, across 15 departments is a coordination-heavy target that depends on sustained engagement well beyond the ITE&C Department itself.
- Incentive currency: because incentive terms are revised periodically, the gap between the published schedule and the terms a startup actually receives at the time of application needs active monitoring by both applicants and APIS.

13. Conclusion

Andhra Pradesh's startup ecosystem rests on a decade-long policy lineage, from the state's pioneering 2014 Start-up and Innovation Policy through to the current Policy 4.0 (2024-2029). The ecosystem's defining feature is the breadth of its institutional architecture: a nodal agency (APIS) responsible for coordination and reporting; a geographically distributed Hub-and-Spoke incubation network anchored by RTIH; a financial incentive schedule that spans idea-stage grants through to equity-linked seed and go-to-market funding; and a non-financial support layer built around the AP Start-up One portal and the AP Innovation Passport.

The state's existing indicators - 6,600-plus startups, 2,400 DPIIT-recognised, a 'Leader' ranking in the DPIIT State Start-up Ranking, and three consecutive years as the state ranked easiest for doing business - provide a credible base from which to pursue the Policy 4.0 targets. Meeting those targets by 2029, however, will depend on the pace at which the RTIH and Spoke Centres become operational and self-sustaining, and on whether the focus-sector diversification into deep-tech, semiconductors and advanced manufacturing translates into a measurable shift in the sectoral composition of the startup base. Continued alignment with the national DPIIT framework, particularly the new Deep Tech Start-up category, positions Andhra Pradesh to channel state-level incentives together with central schemes for research-intensive ventures.

This report has drawn exclusively on official government publications - the Andhra Pradesh Innovation & Start-up Policy (4.0) 2024-2029, RTIH operational guidelines, DPIIT notifications, and the Andhra Pradesh Innovation Society's own materials - to provide a source-referenced account of the ecosystem as it stands. Readers seeking the most current incentive terms, application procedures or scheme deadlines should consult the AP Start-up One portal and the Startup India portal directly, as both are updated on an ongoing basis.

13.1 Recommendations for Stakeholders

For founders: treat DPIIT and state-level recognition as complementary applications to be pursued together (Section 2.5), and map a startup's current stage against the three incentive categories in Section 7.1 before applying, rather than applying for every scheme at once.

For incubator managers: use the AP Innovation Passport obligation (Section 8.1) as a planning input rather than a compliance afterthought, since publicly funded facilities are expected to remain open to the wider registered startup community.

For policymakers and APIS: the risks flagged in Section 12.6 - particularly execution pace and departmental coordination - are the most direct levers available for keeping the 2029 targets credible, and are more within the state's direct control than sectoral diversification, which depends partly on founder and investor behaviour beyond the state's direct influence.

Appendix A: Glossary of Abbreviations

Abbreviation	Full Form / Meaning
APIS	Andhra Pradesh Innovation Society - the State Nodal Agency for startups and innovation.
ITE&C	Information Technology, Electronics & Communications Department, Government of Andhra Pradesh.
DPIIT	Department for Promotion of Industry and Internal Trade, Ministry of Commerce and Industry, Government of India.
RTIH	Ratan Tata Innovation Hub - the apex Hub of the state's Hub-and-Spoke model, at Amaravati.
MSME	Micro, Small and Medium Enterprises.
CoE	Centre of Excellence - a specialised institutional facility focused on a given technology domain.
POC	Proof of Concept - a pilot engagement between a startup and a government department or corporate partner.
SGST	State Goods and Services Tax.
LLP	Limited Liability Partnership.
G.O.Ms.	Government Order (Miscellaneous) - the formal instrument by which Andhra Pradesh notifies policy.
APIP	AP Innovation Passport - the open-access obligation on publicly funded incubation infrastructure.
AMTZ	Andhra Pradesh MedTech Zone, Visakhapatnam.
VC	Venture Capital.
USTDA / KOTRA	United States Trade and Development Agency / Korea Trade-Investment Promotion Agency - foreign trade agencies partnering on Spoke Centre programmes.

Appendix B: Quick-Reference Resources

Resource	Purpose
AP Start-up One Portal	Single-window digital platform for funding applications, mentorship requests, incubation services and real-time application tracking.
Startup India Portal	National portal for DPIIT startup recognition, eligibility criteria and central scheme access.
Ratan Tata Innovation Hub (RTIH), Amaravati	Apex Hub for deep infrastructure, Centres of Excellence, and global network access.
Nearest Spoke Centre (Rajahmundry / Vijayawada / Visakhapatnam / Tirupati / Anantapur)	Ground-level incubation, regional mentor networks, and direct MSME/startup support.
APIS Grievance Escalation	Dynamic grievance-redressal workflow accessible via the AP Start-up One portal, escalating unresolved issues to the CEO of APIS.

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